

Nepal's Dual Exchange Rate Regime (Structural Context)

- Fixed Peg with India

- Floating exchange rate with rest of world (ROW)

Influences the transmission of exchange rate shocks

Independent Variables

1. Real Effective Exchange Rate (REER)

- Appreciation (+)

- Depreciation (-)

2. Real Domestic Income (Real GDP)

Dependent Variables

Aggregate Trade Balance Ratio (TBR_total)

Bilateral Trade Balance ratio with India
(TBR_India)

Bilateral trade balance ratio with rest of the
world (TBRT_ROW)

